Practice workbook · Choosing between straight line and reducing balance, and changing method

Comparing the two depreciation methods, judging which fits an asset, and advising on a proposed change with reference to consistency.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-03

1. Question 18 · part d · 5 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

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1. Question 18 · part d · 5 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

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(c) Prepare the following accounts for the year ended 31 December 2024.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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QUESTION 18 CONTINUES ON NEXT PAGE.

1. Question 18 · part d · 5 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

Shauna has been advised that she should consider charging depreciation on the straight line method rather than the reducing balance method.

(d) Advise Shauna whether or not she should change her method of charging depreciation. Justify your advice by discussing **both** methods.

(5)

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(Total for Question 18 = 15 marks)

1. Question 18 · part d · 5 marks · Working and answer

Working and answer

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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

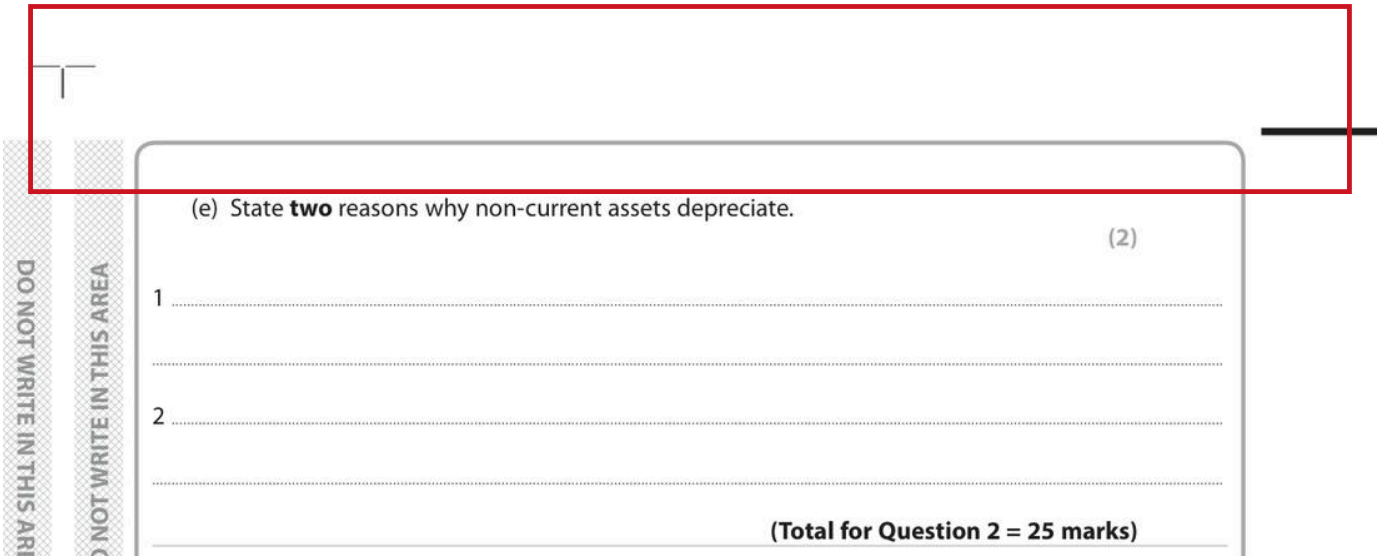
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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.



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(e) State **two** reasons why non-current assets depreciate.

(2)

1 .....

.....

2 .....

.....

(Total for Question 2 = 25 marks)

Working and answer

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3. Question 18 · part d · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

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3. Question 18 · part d · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) Prepare the asset disposal account.

(4)

Asset Disposal Account

Date	Details	$	Date	Details	$

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(d) Evaluate the effect on the business's financial statements of a change in the depreciation method for machinery to reducing balance.

(5)

(Total for Question 18 = 15 marks)

3. Question 18 · part d · 5 marks · Working and answer

Working and answer

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

2 Amira, a sole trader, does not keep full accounting records. She has provided the following information.

	1 April 2020 $	31 March 2021 $
Motor vehicle		
Cost	40 000	50 000
Accumulated depreciation	19 520	**To be calculated**
Land	31 670	31 670
Cash at bank	1 350	1 650 Cr
Inventory	21 500	24 000
Other receivables - insurance	1 500	–
Trade payables	32 000	31 000
Trade receivables	34 500	37 500

During the year ended 31 March 2021 Amira sold her motor vehicle for $22 940.

In addition, she purchased a new motor vehicle costing $50 000. Motor vehicles are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Amira borrowed $50 000 as an interest free loan repayable in five equal annual instalments. The first instalment was paid on 31 March 2021.

Her cash drawings during the year amounted to $25 000 and she also took goods costing $5 000 for her personal use.

At 31 March 2021 irrecoverable debts of $2 500 were to be written off. A provision for irrecoverable debts of 5% was to be created.

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

(4)

Amira
Statement of affairs at 1 April 2020

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

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(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

(11)

Amira
Statement of affairs at 31 March 2021

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

(c) Prepare the equity account for the year ended 31 March 2021 to show the profit or loss for the year.

(5)

Equity Account

Date	Details	$	Date	Details	$

(d) Explain, referring to a relevant accounting concept, why Amira:

(i) introduced a provision for irrecoverable debts

(2)

(ii) used the reducing balance method rather than the straight line method of depreciating her motor vehicle.

(3)

(Total for Question 2 = 25 marks)

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4. Question 2 · part d.ii · 3 marks · Working and answer

Working and answer

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5. Question 13 · part a · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

13 (a) State **two** methods of calculating depreciation.

(2)

1 .....

2 .....

(b) State **two** reasons why non-current assets depreciate.

(2)

1 .....

2 .....

(c) State **one** accounting concept which applies when depreciating non-current assets.

(1)

.....

(Total for Question 13 = 5 marks)

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Working and answer

6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 Tim, a sole trader, provided the following information for the year ended 30 April 2023.

	1 May 2022 $	30 April 2023 $
Inventory	27 280	20 130
Trade receivables	31 550	41 790

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

(5)

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During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Prepare the income statement for the year ended 30 April 2023.

(15)

Tim
Income statement for the year ended 30 April 2023

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Explain why Tim made an adjustment for goods taken for personal use. You **must** refer to an accounting concept.

(3)

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(d) Explain how Tim applies the consistency concept when depreciating non-current assets.

(2)

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(Total for Question 1 = 25 marks)

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Working and answer

7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

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7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Advise Jay why it is important to differentiate between capital expenditure and revenue expenditure.

(5)

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(Total for Question 1 = 25 marks)

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7. Question 1 · part c · 4 marks · Working and answer

Working and answer

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8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

2 On 31 March 2025 Taylor provided the following trial balance after the preparation of the trading account for the year.

Taylor
Trial balance at 31 March 2025

Account	Debit $	Credit $
Cash at bank		2200
Cash in hand	1120	
Drawings	50000	
Equity		250000
Fixtures and fittings – cost	50000	
Fixtures and fittings – provision for depreciation		10000
Gross profit		419250
Lighting and heating	10800	
Inventory	35200	
Irrecoverable debts	250	
Land and buildings – cost	250000	
Motor vehicles – cost	20000	
Motor vehicles – provision for depreciation		7200
Profit on disposal of motor vehicle		800
Provision for irrecoverable debts		750
Sundry expenses	39630	
Trade payables		9800
Trade receivables	12000	
Wages and salaries	231000	
	700000	**700000**

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8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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Additional information at 31 March 2025

- The figure shown for wages and salaries covers the 11 months to 28 February 2025. Salaries for March 2025 are due and unpaid. There have been no salary increases or changes in staff over the past 12 months.
- Motor vehicles are to be depreciated by 20% using the reducing balance method.
- Fixtures and fittings are to be depreciated by 10% using the straight-line method.
- The provision for irrecoverable debts is to be maintained at 5% of trade receivables.

(a) Prepare an income statement extract showing the **profit and loss section** only.

(8)

Taylor
Income statement extract for the year ended 31 March 2025

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8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare a statement of financial position at 31 March 2025.

(12)

Taylor
Statement of financial position at 31 March 2025

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8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

Taylor is considering changing his depreciation policy to allow for all non-current assets to be depreciated at the rate of 20% using the straight-line method.

(c) Advise, referring to **two** relevant accounting concepts, whether he should proceed with this change.

(5)

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(Total for Question 2 = 25 marks)

8. Question 2 · part c · 5 marks · Working and answer

Working and answer

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